CASCADIA ANALYTICS

CSX Corp

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Operational Efficiency Collides with Peak Valuation Multiples

Analyst: Justin Wen | October 29, 2026

CSX has demonstrated strong cyclical operating leverage through disciplined expense management and intermodal acceleration across its Eastern rail network, yet prevailing market valuations have detached from long-term cash flow reality. While management executed structural cost reductions and completed strategic network investments, prevailing multiples leave zero safety margin for industrial softness or cyclical rate reversion. We see substantial downside risk as cash flow compounding fails to bridge the gap created by an overextended equity multiple. We initiate coverage with a Hold (Valuation Concerns) rating, establishing a probability-weighted blended target of $23.77, representing -53.9% upside relative to the $51.54 spot price.

HOLD	$23.77	-53.9%	$51.54
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The broader market remains fixated on transient quarterly operating margin expansion and short-term truck-to-rail conversion gains, extrapolating record quarterly metrics into perpetual compounding. In contrast, our quantitative framework recognizes that structural capital intensity, periodic industrial carload weakness, and an inflated 33.5x

trailing price to earnings multiple expose equity holders to severe valuation compression.

Executive summary

CSX operates as a premier Class I freight railroad serving the Eastern United States, anchoring vital logistical corridors that move coal, chemicals, intermodal containers, and automotive freight. The franchise occupies an essential geographic position connecting major industrial centers, coastal ports, and consumer population hubs across Eastern states. Its network infrastructure constitutes an irreplaceable physical asset base that cannot be replicated under modern regulatory, environmental, and financial constraints. Despite these structural strengths, the business remains inherently bound to broader industrial production cycles, infrastructure reinvestment requirements, and the cyclicality of Eastern freight corridors.

Recent operational prints illustrate both the earnings power and the operational vulnerability of the franchise under new leadership. The evidentiary record demonstrates a pronounced operational rebound throughout FY2026, marked by Q2 FY2026 revenue advancing 10% year over year to a record $3.94B. Operating income for the quarter reached $1.51B as operating margin expanded 240 basis points to 38.3%, supported by a 9% volume increase in intermodal traffic and $54M of structural cost savings that drove purchased services down 9% ($66M). However, this performance follows a challenging FY2025 during which total annual revenue contracted by -3.1% to $14.1B, operating margin settled at 32.1%, and reported earnings were weighed down by a $164M goodwill impairment on Quality Carriers in Q3 FY2025 alongside $50M in severance and technology rationalization charges in Q4 FY2025.

The company enters late FY2026 with a leveraged capital structure and high reinvestment demands. Full-year FY2025 financials confirm an enterprise carrying $19.4B in total debt against $670.0M in cash, leaving net debt at $18.7B. Free cash flow of $1.71B for FY2025 generated a 12.1% free cash flow margin, representing a sharp moderation from peak conversion periods due to hurricane recovery expenditures and network maintenance outlays. While capital expenditure moderations and efficiency initiatives lifted free cash flow to $559M in Q1 FY2026, the current market valuation of $95.0B equity value, equivalent to 18.1x enterprise value to EBITDA and 33.5x diluted earnings, prices in flawless long-term execution without accounting for recurring cyclical volatility.

Operational snapshot

$51.54	$14.1B	$1.71B	12.1%	1.21	$51.54
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Irreplaceable and Capital-Intensive

The competitive moat underpinning CSX stems from its contiguous Eastern rail network, an asset characterized by insurmountable physical barriers to entry. Replicating thousands of route miles through dense Eastern corridors, metropolitan centers, and deepwater ports is economically impossible due to land acquisition expenses, environmental clearances, and right-of-way permissions. This structural physical monopoly grants CSX captive freight demand across core bulk commodities, particularly coal and chemicals, where shippers lack viable, cost-effective transport alternatives over intermediate and long distances.

Switching costs in core carload franchises remain exceptionally high. Industrial manufacturers, chemical processing plants, and energy utilities construct specialized track infrastructure and loading facilities directly linked to CSX branch lines. Once integrated into a shipper's plant logistics, shifting freight to trucking or alternative transport modes introduces severe friction, equipment mismatch, and prohibitive per-ton-mile cost penalties. This captive dynamic provides CSX with steady baseload demand, enabling core pricing power that supports operating margins even during periods of broader volume deceleration.

However, the protective nature of this moat is balanced by massive continuous reinvestment obligations. Rail networks represent living machines that demand heavy maintenance capital expenditures to preserve velocity, track geometry, and bridge safety. Slower capital reinvestment immediately produces operational congestion, as evidenced in Q2 FY2026 when rapid volume growth caused carload trip plan performance to fall 5% to 71%, terminal dwell to increase 6% to 11.0 hours, and intermodal trip plan performance to drop 2% to 88%. The moat preserves market position and prevents entry, but it cannot insulate free cash flow conversion from high capital requirements.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework utilizes a multi-scenario discounted cash flow methodology across a forecast window spanning FY2026 through FY2030. To capture the full spectrum of cyclical outcomes, we define three explicit operational paths grounded in the fundamental operating levers observed in the historical record. The terminal value is derived via Gordon growth mechanics, with cash flows discounted back using a rigorous weighted average cost of capital framework. Model parameters reflect explicit share counts of 1.84 billion diluted shares and net debt of $18.7B.

Across the scenarios, top-line performance and cash conversion exhibit wide dispersion. The model models revenue compound annual growth rates ranging from 2.8% in the bear case up to 5.5% in the bull case, departing from the FY2025 revenue base of $14.1B. Target free cash flow margins in the terminal forecast year expand from the FY2025 level of 12.1% toward a range of

20.0% to 25.1%, reflecting variable degrees of permanent cost retention from ongoing purchased service initiatives and network modernization.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	2.8%	20.0%	$17.93	-65.2%
Base	50%	4.3%	22.9%	$23.89	-53.6%
Bull	25%	5.5%	25.1%	$29.37	-43.0%

Bear $17.93

The bear case assumes a 2.8% revenue CAGR through FY2030 paired with a 20.0% target free cash flow margin. This path models prolonged industrial volume stagnation, recurring network congestion costs, and persistent export coal rate pressure, resulting in an equity value of $17.93 per share, representing -65.2% downside from spot.

Base $23.89

The base case projects a 4.3% revenue CAGR through FY2030 and a normalized free cash flow margin of 22.9%. Steady truck-to-rail intermodal conversion and non-repeat of historical disruption expenses drive steady operating leverage, producing a fundamental equity value of $23.89 per share, representing -53.6% downside from spot.

Bull $29.37

The bull case incorporates a 5.5% revenue CAGR and an expanded 25.1% target free cash flow margin. Under this scenario, sustained double-stack efficiencies from the completed Howard Street Tunnel project and aggressive structural cost-out yield peak rail profitability, producing an equity target of $29.37 per share, representing -43.0% downside from spot.

Valuation framework

A live discount rate, not a static hurdle

Our quantitative model computes a live weighted average cost of capital of 8.73%, reflecting the true capital risks of CSX. This calculation is anchored on an equity beta of 1.21, reflecting the company's operating leverage, industrial cyclicality, and balance sheet leverage. With total debt standing at $19.4B against $670.0M of cash, the debt load exerts a meaningful claim on firm value and establishes a non-trivial risk premium across the capital structure.

The 8.73% discount rate functions as an active hurdle that rigorously penalizes distant, back-half terminal cash flows. The broader market appears to price CSX at an equity cost of capital closer to utility-like assets, ignoring the operational friction and earnings volatility documented in the evidentiary record. Discounting the business through a verified 8.73% hurdle exposes the vulnerability of paying 33.5x trailing earnings for an asset with substantial cyclical exposure.

FCF margin normalization is the engine

Free cash flow margin evolution serves as the critical bridge across our three scenarios. In FY2025, free cash flow stood at $1.71B on $14.1B of revenue, translating into a suppressed 12.1% free cash flow margin. That performance was burdened by elevated capital expenditures, hurricane rebuild activities that drained year-to-date cash flows to $1.1B in late FY2025, and operational disruption costs approximating $100M.

The cash flow bridge across the forecast horizon assumes that capital efficiency improves as non-recurring network disruption costs roll off and clearance projects reach completion. While Q1 FY2026 cash conversion demonstrated rapid acceleration with free cash flow jumping 42% to $559M, our model recognizes that achieving normalized margins of 20.0% in the bear case, 22.9% in the base case, and 25.1% in the bull case requires sustaining high equipment productivity while absorbing unavoidable wage and locomotive fuel inflation.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.73% (2026-10-29)**
Equity beta	**1.21**
Diluted shares	**1.84 billion**

HOLD

over $23.77 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Oligopoly (4 Class I rails; east-coast duopoly). We assign a premium of +10 to +15% to sector median multiples on moat strength alone.

- the owned eastern network itself, a shipper with a plant on CSX track has no second railroad at the siding, and intermodal scale compounds that.
- Q3 2026 revenue $4,017M, +12.0% year on year, with an operating ratio of 60.9% (company quarter as summarised in the 24 Oct 2026 Norfolk Southern Q3 earnings analysis, which tabulates CSX alongside UNP and NSC; single-source summary of company reports, flag). That is evidence of cost discipline holding through a volume recovery, not of unconstrained rate power: the same summary puts UNP at 59.1% and NSC at 67.4%,.
- The weakest element is the moat stops at the siding, long-haul trucking competes for most freight, and STB rate/service oversight caps pricing freedom.

On a multiple cross-check, the justified range is 20.3-21.2× / 22.2-23.2×. The cross-check value is $51.82-$54.18 vs Base $23.75, spot $51.54, on a base of Framework base from the October 27 moat report. The gap verdict is Not at all (as a DCF add-on; see note).

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score

customer concentration	1 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	1 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	4 points
customer insourcing risk	4 points
regulatory single point risk	4 points

The combined discount is 19 percent, capped at 20 percent, against an uncapped total of 19 percent. Shown side by side with the moat premium or discount, the net stance is -9 to -4 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Intermodal Volume Expansion and Precision Cost Execution HOLD

Top-line momentum at CSX is increasingly governed by the intermodal container segment, which has emerged as the core engine of volume growth. In Q2 FY2026, intermodal revenue surged 26% to $620M on a 9% jump in volume, building upon the 6% volume increase recorded in Q1 FY2026 and the 5% expansion achieved in Q4 FY2025. Shippers are progressively converting highway freight to rail corridors as network service levels improve, while the completion of the Howard Street Tunnel clearance project provides vital double-stack container capability into key Northeast freight markets.

Conversely, performance across traditional industrial carload markets remains highly uneven. Automotive freight experienced a 1% volume contraction in Q2 FY2026 due to manufacturing plant retooling schedules, while forest products volumes exhibited acute weakness, dropping 11% in Q4 FY2025 and 9% in Q1 FY2026 before flattening in Q2 FY2026 amidst soft residential housing trends. Chemicals freight has faced periodic cyclical pressure, contracting 6% in Q4 FY2025 and 4% in Q3 FY2025, highlighting the vulnerability of bulk industrial carloads to broader manufacturing slowdowns.

Coal transport continues to operate as a high-margin yet volatile earnings contributor. While Q2 FY2026 witnessed an export coal rebound with volumes rising 12% to 11.3M tons and revenues growing 9% to $520M, previous quarters saw severe top-line headwinds from pricing benchmarks. Coal revenues fell 11% in Q3 FY2025 and dropped 5% in Q4 FY2025 despite flat to positive volume growth, demonstrating how export benchmark fluctuations can rapidly offset underlying network volume gains.

Operating margin expansion across the forecast horizon hinges directly on permanent structural cost execution. Under the direction of Chief Executive Officer Steve Angel, CSX achieved substantial efficiency gains, reducing purchased services expenses by 20% ($158M) in Q1 FY2026 and by 9% ($66M) in Q2 FY2026 via more than 100 dedicated cost initiatives. Operating margin expanded 240 basis points to 38.3% in Q2 FY2026. However, network strain emerged alongside higher traffic, with labor and fringe costs rising $40M (+5%) to $831M and carload trip plan compliance dropping 5% to 71%, proving that cost reductions must constantly be balanced against network fluidness.

What to monitor

- **Intermodal conversion velocity** Sustained container volume gains and double-stack container routing following the completion of the Howard Street Tunnel project.
- **Terminal dwell and network fluidness** Tracking terminal dwell times above the 11.0 hours logged in Q2 FY2026 and carload trip plan compliance below 71%.
- **Purchased services run-rate** Durability of the $54M structural cost savings and ongoing reductions in external contractor services without degrading equipment availability.
- **Export coal benchmark pricing** Realized revenue per carload dynamics across export coal tonnage following the $520M revenue performance in Q2 FY2026.

-3.1%	44.7%	32.1%	12.1%	$18.7B	22.0%
FY2025 REVENUE GROWTH	EBITDA MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$14.1B
EBIT	$4.52B
Net Income	$2.89B
EBITDA	$6.29B
Free Cash Flow	$1.71B
Diluted EPS	$1.54
ROE	22.0%

Risk & moat matrix

The bear case

SHARE EROSION

Highway trucking alternatives and rival transportation modes can capture price-sensitive freight if rail service falters. As carload trip plan performance fell to 71% in Q2 FY2026, shippers in competitive corridors face operational incentives to re-evaluate modal splits.

M&A DIGESTION

Capital allocation missteps create lingering financial and operational drags on corporate earnings. The $164M non-cash goodwill impairment recorded on Quality Carriers in Q3 FY2025 underscored the elevated risks of integrating asset-heavy trucking

REGULATORY AND PRICING SCRUTINY

Common carrier obligations and federal oversight limit unilateral network abandonment and pricing flexibility. Scrutiny intensifies when network velocity slows or when terminal dwell deteriorates, constraining the railroad's ability to maximize carload yields.

TECHNOLOGY DISRUPTION

Failure to execute operational technology modernization can inflate overhead expenses and degrade equipment utilization. CSX incurred $50M in severance and technology rationalization charges in Q4 FY2025 to restructure legacy systems and eliminate 166 management roles.

REINVESTMENT TREADMILL

Sustaining track geometry, bridge infrastructure, and locomotive reliability requires constant capital reinvestment. Extreme weather events and infrastructure rebuilds can rapidly depress free cash flows, as occurred when year-to-date cash flow fell to $1.1B in late FY2025.

WACC AND DURATION SENSITIVITY

With net debt standing at $18.7B and a market equity beta of 1.21, equity value is highly sensitive to the 8.73% discount rate. Long-duration terminal value cash flows compress severely when elevated valuation multiples face rising capital costs.

acquisitions into rail operations.

The strengths

OLIGOPOLY POSITION

CSX operates as one of only two dominant Class I rail providers serving the Eastern United States. This structural position provides irreplaceable access to deepwater ports, major chemical manufacturing corridors, and key metropolitan distribution centers.

FCF COMPOUNDING

Disciplined operating execution enables significant cash flow generation when network velocity remains high. Free cash flow surged 42% to $559M in Q1 FY2026 as prior infrastructure project outlays concluded and operations stabilized.

GEOGRAPHIC DURABILITY

Direct track connections to primary export terminals provide unique advantages for heavy industrial shippers. Export coal volumes rose 12% to 11.3M tons in Q2 FY2026, proving the durability of Eastern port connections.

PIPELINE OPTIONALITY

Strategic clearance initiatives expand high-capacity network routing options for premium container traffic. Completing the Howard Street Tunnel and Blue Ridge projects removed an estimated $25M quarterly drag and enabled double-stack container operations into the Northeast.

The bottom line on risk and reward

The operational narrative surrounding CSX is undeniably improving as management eliminates redundant structural expenses and captures freight share through intermodal conversion. The operating margin expansion to 38.3% in Q2 FY2026 illustrates the formidable operating leverage inherent in the rail business when carload volumes expand by 6%. Furthermore, the elimination of roughly $100M in non-recurring disruption expenses from FY2025 establishes a more predictable operational foundation.

Nonetheless, equity valuation cannot be detached from fundamental cash flow generation. At the reference spot price of $51.54, CSX trades at an enterprise value of $113.7B and an equity capitalization of $95.0B, reflecting an EV to EBITDA multiple of 18.1x and a price to earnings ratio of 33.5x based on FY2025 diluted EPS of $1.54. These valuation multiples sit at extraordinary premiums relative to historical rail trading ranges, leaving the stock highly vulnerable to cyclical deceleration in industrial carloads or upward cost pressure in labor and fuel.

Our quantitative model synthesizes these dynamics into a probability-weighted blended price target of $23.77 per share across our bear ($17.93), base ($23.89), and bull ($29.37)

scenarios. This yields an implied downside of -53.9% relative to the prevailing reference price. While operational execution under new leadership is robust, current trading levels discount impossible long-term margin performance. We reiterate our Hold (Valuation Concerns) recommendation and advise institutional investors to await a substantial valuation reset before committing fresh capital.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Intermodal containers: Highway Conversion and Clearance Infrastructure

The intermodal container business represents the cornerstone of CSX's long-term volume growth strategy, serving as the primary vehicle for capturing freight moving across Eastern highways. By pairing rail linehaul economics with domestic container equipment, CSX targets freight traffic that historically moved entirely via highway motor carriers. This service segment benefits directly from major supply chain partners seeking fuel efficiency and predictable delivery schedules between midwestern manufacturing hubs and Eastern metropolitan consumption centers.

Physical infrastructure enhancements have transformed the competitive posture of this franchise. The structural completion of the Howard Street Tunnel and Blue Ridge clearance initiatives eliminated long-standing vertical clearance bottlenecks that had prevented the operation of double-stack container trains into Baltimore and surrounding Northeast corridors. Removing these restrictions permanently eliminated an estimated $25M quarterly network drag while unlocking substantial train capacity without requiring additional train starts.

Recent operating metrics confirm accelerating shipper adoption alongside rising operational challenges. Intermodal volume grew 5% in Q4 FY2025, advanced 6% in Q1 FY2026, and accelerated to a 9% increase in Q2 FY2026, driving quarterly segment revenue to $620M, an increase of 26% year over year. However, rapid volume influxes have introduced operational friction across yards and terminals. Carload trip plan performance dropped to 71% in Q2 FY2026 while intermodal trip plan compliance declined to 88%, demonstrating that maintaining high customer service standards while rapidly expanding traffic requires constant operational vigilance.

What the recent record shows

- Intermodal container revenue expanded 26% year over year to $620M in Q2 FY2026, powered by a 9% volume surge and active highway conversion.
- Completion of the Howard Street Tunnel and Blue Ridge clearance projects eliminated approximately $25M in quarterly operational drag while unlocking double-stack routing into the Northeast.

- Intermodal trip plan compliance experienced slight erosion, slipping from 90% to 88% as volume density ramped across key terminals.
- Structural cost discipline paired with intermodal volume growth drove corporate operating margin to a robust 38.3% in Q2 FY2026 despite network dwell rising to 11.0 hours.

> **Our read:** The intermodal franchise provides CSX with a powerful structural engine to capture freight volume across the Eastern seaboard, but operating multiples have completely outstripped the incremental cash flows generated by this traffic. Investors should appreciate the operational turnaround while avoiding the extreme valuation premium embedded in current market prices.